

check on any expenses that you can control.

Realistically speaking, to be able to save, you need to spend less money than you earn. If expenses are beyond your income, you are treading on dangerous ground, which could lead to a future spent servicing your debt. There isn't really a magic number when it comes to saving. Save as much as you can is an axiom to live with, but how much you save each month will depend on how much you earn and spend. To know if you are saving enough, you must know your savings ratio; which can be arrived by dividing your savings by your monthly gross income.

For instance, for someone earning Rs 1 lakh gross income and saving Rs 15,000 at the end of the month, the savings ratio works to 15 per cent. But someone saving the same sum with Rs 75,000 as gross monthly income has a savings ratio of 20 per cent. The amount saved is the same, but the savings ratio of the latter is better compared to the former, indicating financial prudence. A higher savings ratio is always desirable, with an average 20-25 per cent savings ratio considered good.

SMALL CHANGES TO YOUR SPENDING HABITS CAN MAKE A DIFFERENCE TO NOT JUST THE WAY YOU SPEND OR HOW MUCH, BUT ALSO INCREASE YOUR SAVINGS POTENTIAL

SPEND LESS, SPEND SMART



If you are the kind who likes to maintain an image, chances are you spend more than you should. Many rich people spend because they can afford to and, on top of it, they do so smartly. It helps if you can differentiate between financial needs and wants when you are in a spending mode. Impulsive buying, frequently upgrading gadgets and uncontrolled spending are all signs of poor control over your finances. Habitual spending is a sure-shot route to saving lesser than you could. It doesn't mean you have to become thrifty; you need to become smart with spending.

Spending more than you can afford is a definite sign of getting into debt, especially if you extensively use credit cards. Small changes to your spending can make a difference to not just the way you spend or how much, but also increase your savings potential. Spending less shouldn't be like a calorie-deficit fad diet, which is difficult to manage. Instead, start by tracking your spending and identify the triggers that could have been avoided.

BORROW WHEN NECESSARY AND WISELY



Borrowing money can help you realise future financial goals soon. That is why credit can be a blessing and a curse. When used wisely, it can help you purchase things you might not otherwise be able to afford, such as a house. But it can also saddle you with debt that can be a drain on your finances. Borrow only as much as you can repay is too simplistic a statement. In these times of EMIs (equated monthly instalments) and access to easy credit, it is very difficult to identify how much exactly you can afford to borrow.

Borrowing is easy money, but repaying can become a tough task, like the belly fat that takes years to get rid of. When you borrow money, it never comes for free. Even the so-called interest-free loans come with hidden charges and costs. Likewise, just because a lender is willing to provide a loan doesn't mean you should automatically borrow. These days, agencies track your credit history and arrive at a credit score which determines your repaying capacity based on which you are issued fresh credit.

If your credit score is poor, you may be denied a loan when you really need it or be offered one which costs more than the standard rate. One way to check on your financial fitness is to know your debt servicing ratio, which can be arrived at by dividing the monthly debt you service by your gross monthly income. For instance, if someone earning Rs 1 lakh a month is servicing Rs 25,000 on loans (credit card outstanding as well as home loan), the debt servicing ratio works out to 25 per cent. The same for someone earning Rs 75,000 would be a higher debt servicing ratio of 33 per cent.

Debt servicing ratio does not necessarily impact the amount of money you can borrow or what a lender lends to you. But, it is evi-